NAJRAN CEMENT COMPANY
(A SAUDI JOINT STOCK COMPANY)

INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE THREE-MONTH AND NINE-MONTH PERIODS ENDED 30 SEPTEMBER 2024 AND INDEPENDENT AUDITOR'S REVIEW REPORT

Najran Cement Company
(A Saudi Joint Stock Company)
Interim Condensed Consolidated Financial Statements (Unaudited)
For The Three-Month and Nine-Month Periods Ended 30 September 2024
And Independent Auditor’s Review Report

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INDEPENDENT AUDITOR'S REVIEW REPORT

To The Shareholders Of
Najran Cement Company
(A Saudi Joint Stock Company)
Najran - Kingdom of Saudi Arabia

Introduction

We have reviewed the accompanying interim condensed consolidated statement of financial position of Najran Cement Company, a Saudi Joint Stock Company ("the Company") and its Subsidiary (collectively referred to as "the Group") as at 30 September 2024 and the related interim condensed consolidated statements of profit or loss and comprehensive income for the three-month and nine-month periods then ended and the related interim condensed consolidated statements of changes in equity and cash flows for the nine-month period then ended and other explanatory notes. Management is responsible for the preparation and presentation of these interim condensed consolidated financial statements in accordance with International Accounting Standard 34 - "Interim Financial Reporting" (IAS 34) that is endorsed in the Kingdom of Saudi Arabia. Our responsibility is to express a conclusion on these interim condensed consolidated financial statements based on our review.

Scope of review

We conducted our review in accordance with International Standard on Review Engagements 2410, 'Review of Interim Financial Information Performed by the Independent Auditor of the Entity' that is endorsed in the Kingdom of Saudi Arabia. A review of interim condensed consolidated financial statements consists of making inquiries, primarily to persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Basis for Qualified Conclusion

1- As at 30 September 2024, the interim condensed consolidated financial statements include property, plant and equipment amounting to SR 2,010 million (31 December 2023: SR 2,030 million) and depreciation expense of property, plant, and equipment amounting to SR 64.8 million for the nine-month period then ended. The Group depreciates property, plant and equipment using the declining balance method. We were unable to obtain appropriate audit evidence to enable us to confirm the correct application of the depreciation method. Accordingly, we are unable to determine whether any adjustments are required to the interim condensed consolidated financial statements as at 31 December 2023 and for the period ended 30 September 2024.

2- As mentioned in Note 8, the inventories balance as at 30 September 2024, includes consumable spare parts with a gross carrying value of SR 121.5 million (31 December 2023: SR 118 million). However, there are long-aged (slow moving) items included therein which form part of these consumable spare parts. We were unable to obtain sufficient appropriate evidence to conclude whether management's assessment of the provision for slow moving items is reasonable and consequently we were unable to determine whether any adjustments to the interim condensed consolidated financial statements as at 31 December 2023 and for the period ended 30 September 2024 were necessary.

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Independent auditor's review report to the shareholders of Najran Cement Company (A Saudi Joint Stock Company), (Continued)

Qualified Conclusion

Except for the effect of the adjustments to the interim condensed consolidated financial statement that we might have become aware of based on the situations described in the basis of qualified conclusion above, nothing has come to our attention that causes us to believe that the accompanying interim condensed consolidated financial statements are not prepared, in all material respects, in accordance with IAS 34, that is endorsed in the Kingdom of Saudi Arabia.

Other matter

The consolidated financial statement of the Group for the year ended 31 December 2023 were audited by another auditor who expressed qualified opinion on those consolidated financial statements on 4 Dhu Al-Qi'dah 1445H (corresponding to 12 May 2024G). Further, the interim condensed consolidated financial statement of the group for the three-month and nine-month periods ended 30 September 2023 were reviewed by the same another auditor who expressed unmodified conclusion on those interim condensed consolidated financial statement on 02 Jumada Al-ula1445H (corresponding to 16 November 2023G).

For Dr. Mohamed Al-Amri & Co.

Maher Al-Khatieb
Certified Public Accountant
License Number 514

د. محمد العمري وشركاه - محاسبون قانونيون
شركة مهنية رقم ٣٢٣ / ١١ / ٦١
س.ت ٤٠٣٠٢٧٥٣٣٠
Certified Public Accountants
Dr. Mohamed Al-Amri & Co.

Jeddah on: 09/05/1446
Corresponding to:11/11/2024

(All amounts in thousands Saudi Riyals unless otherwise stated)

	Note	*30 September 2024 (Unaudited) SR '000*	*31 December 2023 (Audited) SR '000*
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	7	2,010,292	2,030,154
TOTAL NON-CURRENT ASSETS		**2,010,292**	**2,030,154**
CURRENT ASSETS			
Inventories	8	453,995	408,197
Trade receivables	9	23,010	21,076
Prepayments and other receivables		30,391	30,287
Cash and cash equivalents		15,674	16,015
TOTAL CURRENT ASSETS		**523,070**	**475,575**
TOTAL ASSETS		**2,533,362**	**2,505,729**
EQUITY AND LIABILITIES			
EQUITY			
Share capital	10	1,700,000	1,700,000
Statutory reserve		163,620	163,620
Retained earnings		185,131	138,155
TOTAL EQUITY		**2,048,751**	**2,001,775**
NON-CURRENT LIABILITIES			
Provision for employees' benefits		47,195	45,267
Non-current portion of lease liability		1,834	2,103
Rehabilitation provision		1,168	1,047
Long term financing	11	227,385	274,057
TOTAL NON-CURRENT LIABILITIES		**277,582**	**322,474**
CURRENT LIABILITIES			
Zakat payable	12	5,872	8,030
Current portion of lease liability		263	255
Current portion of long-term financing	11	64,878	44,422
Short term financing	11	40,000	20,000
Contract liability - advances from customers		5,761	6,490
Trade payables		64,904	44,835
Accrued and other payables		23,897	55,994
Dividends payable		1,454	1,454
TOTAL CURRENT LIABILITIES		**207,029**	**181,480**
TOTAL LIABILITIES		**484,611**	**503,954**
TOTAL EQUITY AND LIABILITIES		**2,533,362**	**2,505,729**

CFO	**Board of Directors member and CEO**	**Authorized Board Member and Chairman of the Audit Committee**
Rami Jawad Abu Jneid	Abdulsalam Abdullah Aldraibi	Waleed Ahmed Bamarouf

The attached notes from 1 to 21 form an integral part of these interim condensed consolidated financial statements.

Najran Cement Company
(A Saudi Joint Stock Company)
Interim Condensed Consolidated Statement of Profit or Loss
(All amounts in thousands Saudi Riyals unless otherwise stated)

	Note	*For the three-month period ended 30 September*		*For the nine-month period ended 30 September*	
		2024 (Unaudited) SR '000	*2023 (Unaudited) SR '000*	***2024 (Unaudited) SR '000***	*2023 (Unaudited) SR '000*
Sales	13	134,565	113,843	385,959	358,823
Cost of sales		(97,677)	(81,475)	(284,770)	(255,676)
GROSS PROFIT		**36,888**	**32,368**	**101,189**	**103,147**
Selling and distribution expense		(2,079)	(2,083)	(6,927)	(6,394)
General and administrative expense		(9,598)	(9,398)	(26,148)	(26,729)
OPERATING PROFIT		**25,211**	**20,887**	**68,114**	**70,024**
Finance costs		(6,024)	(5,986)	(18,231)	(16,454)
Other income		277	1,155	1,683	2,905
PROFIT BEFORE ZAKAT		**19,464**	**16,056**	**51,566**	**56,475**
Zakat	12	(1,530)	(2,038)	(4,590)	(6,114)
NET PROFIT FOR THE PERIOD		**17,934**	**14,018**	**46,976**	**50,361**
EARNINGS PER SHARE					
Basic and diluted earnings per share attributable to equity holders of the Company (SR)	14	0.11	0.08	0.28	0.30

CFO	**Board of Directors member and CEO**	**Authorized Board Member and Chairman of the Audit Committee**
Rami Jawad Abu Jneid	Abdulsalam Abdullah Aldraibi	Waleed Ahmed Bamarouf

The attached notes from 1 to 21 form an integral part of these interim condensed consolidated financial statements.

(All amounts in thousands Saudi Riyals unless otherwise stated)

	For the three-month period ended 30 September		*For the nine-month period ended 30 September*	
	2024 (Unaudited) SR '000	*2023 (Unaudited) SR '000*	***2024 (Unaudited) SR '000***	*2023 (Unaudited) SR '000*
NET PROFIT FOR THE PERIOD	17,934	14,018	46,976	50,361
OTHER COMPREHENSIVE INCOME	-	-	-	-
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	17,934	14,018	46,976	50,361

CFO	**Board of Directors member and CEO**	**Authorized Board Member and Chairman of the Audit Committee**
Rami Jawad Abu Jneid	Abdulsalam Abdullah Aldraibi	Waleed Ahmed Bamarouf

The attached notes from 1 to 21 form an integral part of these interim condensed consolidated financial statements.

(All amounts in thousands Saudi Riyals unless otherwise stated)

	Note	*Share capital SR '000*	*Statutory reserve SR '000*	*Retained earnings SR '000*	*Total Equity SR '000*
As at 1 January 2024 - (Audited)		1,700,000	163,620	138,155	2,001,775
Net profit for the period		-	-	46,976	46,976
Other comprehensive income		-	-	-	-
Total comprehensive income for the period		-	-	46,976	46,976
Balance as at 30 September 2024 (Unaudited)		**1,700,000**	**163,620**	**185,131**	**2,048,751**
As at 1 January 2023 (Audited)		1,700,000	156,677	119,128	1,975,805
Net profit for the period		-	-	50,361	50,361
Other comprehensive income		-	-	-	-
Total comprehensive income for the period		-	-	50,361	50,361
Dividends	17	-	-	(42,500)	(42,500)
Balance as at 30 September 2023 (Unaudited)		**1,700,000**	**156,677**	**126,989**	**1,983,666**

CFO	**Board of Directors member and CEO**	**Authorized Board Member and Chairman of the Audit Committee**
Rami Jawad Abu Jneid	Abdulsalam Abdullah Aldraibi	Waleed Ahmed Bamarouf

	Note	*For the nine-month period ended 30 September* 2024 (Unaudited) SR '000	2023 (Unaudited) SR '000
OPERATING ACTIVITIES			
Profit before zakat		51,566	56,475
Adjustments to reconcile income before zakat to net cash flows:			
Depreciation	7	64,808	58,722
Finance cost		18,231	16,454
Provision for employees' benefits		5,570	5,222
Rehabilitation provision		121	-
Loss /(gain) for disposal of property, plant and equipment		109	(216)
Refund for the provision for expected credit loss		-	(400)
		140,405	**136,257**
Working capital adjustments			
Trade receivables		(1,934)	7,950
Inventories		(45,798)	(76,945)
Prepayments and other receivables		(104)	18,564
Contract liability - advances from customers		(729)	(299)
Trade payables		20,069	(2,929)
Accrued and other payables		(32,097)	(4,526)
Net cash generated from operations		**79,812**	**78,072**
Zakat paid		(6,748)	(6,026)
Finance costs paid		(15,016)	(11,108)
End of service benefits paid		(3,642)	(1,127)
Net cash from operating activities		**54,406**	**59,811**
INVESTING ACTIVITIES			
Purchase of property, plant and equipment	7	(45,733)	(104,470)
Proceed of property, plant and equipment		678	995
Purchase of intangible assets		-	(491)
Net cash used in investing activities		**(45,055)**	**(103,966)**
FINANCING ACTIVITIES			
Proceeds from Short-term loans		60,000	20,000
Proceeds from long-term loans		-	63,023
Payment of Short-term loan		(40,000)	-
Payment of long-term loan		(29,423)	(21,423)
Payment of Leases Liability		(269)	(332)
Dividends payable		-	(42,369)
Net cash (used in)/ from financing activities		**(9,692)**	**18,899**
NET DECREASE IN CASH AND BANK BALANCES		(341)	(25,256)
Cash and cash equivalents at the beginning of the period		16,015	39,314
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD		**15,674**	**14,058**
Non cash Transaction			
Additions of property, plant and equipment		**1,841**	-

CFO	**Board of Directors member and CEO**	**Authorized Board Member and Chairman of the Audit Committee**
Rami Jawad Abu Jneid	Abdulsalam Abdullah Aldraibi	Waleed Ahmed Bamarouf

(All amounts in thousands Saudi Riyals unless otherwise stated)

1 CORPORATE INFORMATION

Najran Cement Company ("the Company" or "the Parent Company"), a Saudi Joint Stock Company, registered at Najran on 5 Ramadan 1426 (corresponding to 9 October 2005) under Commercial Registration number 5950010479. On 10 Shaaban 1437 (corresponding to 17 May 2016), the Company was granted an Industrial License, number 2446. The Company's shares are listed in the Saudi stock market in the Kingdom of Saudi Arabia.

The principal activities of the Company are manufacturing of ordinary portland cement and cement resistant to salts.

These interim condensed consolidated financial statements comprise the Company and its wholly owned subsidiary, Wasl Al Janub Land Transportation Company (One person company) (together referred to as the "Group").

The subsidiary Company is registered as a limited liability Company at Najran was established on 23 Dhul- Hijjah 1441 (corresponding to 8 August 2020) under Commercial Registration number 5950119264. On 02 Shaaban 1442 (corresponding to 15 March 2021), the subsidiary company was granted transportation License, number 11/00007925.

The principal activity of the subsidiary company is land transport of goods.

2 SIGNIFICANT ACCOUNTING POLICIES

2.1 Statement of compliance

These interim condensed consolidated financial statements for the three month and nine-month periods ended 30 September 2024 have been prepared in accordance with International Accounting Standard (34) "Interim Financial Reporting" as endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are issued by the Saudi Organization for Chartered and Professional Accountants ("SOCPA"). The Group has prepared these interim condensed consolidated financial statements on the basis that it will continue to operate as a going concern. The management consider that there are no material uncertainties that may cast significant doubt over this assumption. They have formed a judgement that there is a reasonable expectation that the Group has adequate resources to continue in operational existence for the foreseeable future, and not less than 12 months from the end of the reporting period.

The interim condensed consolidated financial statements do not include all the information and disclosures required in the annual consolidated financial statements and should be read in conjunction with the Group's annual consolidated financial statements for the year ended 31 December 2023. In addition, results of the interim period ended 30 September 2024 are not necessarily indicative of the results that may be expected for the financial year ending 31 December 2024.

2.2 Basis of measurement

These interim condensed consolidated financial statements are prepared under the historical cost convention using the accrual basis of accounting and going concern concept, except for the following items which are measured as follows:

Items	*Measurement basis*
Employee defined benefit liabilities	Present value of the defined benefit obligation using projected credit unit method

2.3 Functional and presentation currency

These interim condensed consolidated financial statements are presented in Saudi Riyals (SR), which is also the Group's functional and presentation currency.

2.4 Significant accounting judgements, estimates and assumptions

The preparation of the Group's interim condensed consolidated financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities.

The significant judgments made by management in applying the Group's accounting policies and the methods of computation and the key sources of estimation are the same as those that applied to the consolidated financial statements for the year ended 31 December 2023.

(All amounts in thousands Saudi Riyals unless otherwise stated)

3 BASIS OF CONSOLIDATION

These interim condensed consolidated financial statements include the financial information of the Parent Company and its wholly owned subsidiary, Wasl Al Janub Land Transportation Company (One person company) (together referred to as the "Group"), In which the Group exercises control as at 30 September 2024.

Subsidiary name	*Country of incorporation*	*Principal business activity*	*Effective ownership interest*	
			30 September 2024	*31 December 2023*
Wasl Al Janub Land Transportation Company (One person company)	KSA	land transport of goods	**100%**	100%

The financial statements of the subsidiary are prepared for the same reporting period as that of the Group, using consistent accounting policies of the Group (note 5).

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealized income and expenses arising from intra-group transactions, are eliminated.

Unrealized losses (if any) are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has control over an investee, including:

- The contractual arrangement(s) with the other vote holders of the investee.
- Rights arising from other contractual arrangements.
- The Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the period are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Control is achieved when the Group is exposed, or has rights, to variable returns from its transactions with the investee and has the ability to affect those returns through exercising its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give the Group the current ability to direct the relevant activities of the investee).
- Exposure, or rights, to variable returns from its transactions with the investee.
- The ability to use its power over the investee to affect its returns.

4 NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS ADOPTED BY THE GROUP

The accounting policies adopted in the preparation of the interim condensed consolidated financial statements are consistent with those followed in the preparation of the Group's annual consolidated financial statements for the year ended 31 December 2023, except for the adoption of new standards effective as of 1 January 2024. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective. Several amendments apply for the first time in 2024, but do not have an impact on the interim condensed consolidated financial statements of the Group Which explained in the financial statements of the group.

There are no new standards issued, however there are number of amendments to standards which are effective from 1 January 2024 and has been explained in group annual consolidated financial statements, but they do not have a material effect on the interim condensed consolidated financial statements as at 30 September 2024.

The Group did not have to change its accounting policies or make retrospective adjustments as a result of adopting these amended standards.

(All amounts in thousands Saudi Riyals unless otherwise stated)

5 SUBSIDIARY

Below is a summary of the financial information of the subsidiary "Wasl Al Janub Land Transportation Company (One person company)" which is a wholly owned subsidiary of Najran Cement Company, this information is based on amounts before the elimination of intercompany balances and transactions (Note3):

Summary of statement of financial position	***30 September 2024 (Unaudited) SR'000***	*31 December 2023 (audited) SR'000*
Non-current assets	135,772	127,202
Current assets	13,713	23,883
Non-current liabilities	103,081	110,775
Current liabilities	4,229	3,142
Net assets	42,175	37,168

Summary of statement of comprehensive income	***For the nine-month period ended 30 September 2024 (Unaudited) SR '000***	*For the nine-month period ended 30 September 2023 (Unaudited) SR '000*
Operating Profit	8,757	4,166
Net Profit	5,009	2,810

6 SEGMENTAL REPORTING

The Group is engaged in one significant operating segment, i.e., manufacturing cement and operates in entirely from the Kingdom of Saudi Arabia and certain foreign jurisdictions. Accordingly, the financial information was not divided into different geographic or business segments. Further, significant amount of liabilities of the Group are payable in Saudi Arabia.

7 PROPERTY, PLANT AND EQUIPMENT

For the purpose of preparing the interim condensed consolidated statement of cash flows, movement in property, plant and equipment during the nine-month period ended 30 September is as follows:

	30 September 2024 (Unaudited) SR '000	*30 September 2023 (Unaudited) SR '000*
Depreciation	64,808	58,722
Additions to property, plant and equipment	(47,574)	(104,470)

*In relation to the matter stated in the Auditor report, the group is working to prepare the required studies to resolve the same.

8 INVENTORIES

	30 September 2024 (Unaudited) SR'000	*31 December 2023 (audited) SR'000*
Work in process	305,317	263,390
Spare parts – Consumables not for sale	121,496	118,453
Raw materials, fuel and packing materials	28,841	27,857
Finished goods	5,664	5,820
	461,318	**415,520**
Less: Provision for obsolete spare parts	(7,323)	(7,323)
Total	**453,995**	**408,197**

*In relation to the matter stated in the Auditor report, the group is working to prepare the required studies to resolve the same.

(All amounts in thousands Saudi Riyals unless otherwise stated)

9 TRADE RECEIVABLES

9.1 Trade Receivables

	30 September 2024 (Unaudited) SR '000	*31 December 2023 (Audited) SR '000*
Trade receivables	24,589	22,655
Less: provision for expected credit loss	(1,579)	(1,579)
	23,010	**21,076**

Trade receivables are non-interest bearing and are generally payable on demand.

9.2 Movement in the provision for expected credit loss is as follows:

	30 September 2024 (Unaudited) SR '000	*31 December 2023 (Audited) SR '000*
Balance at the beginning of the period / year	1,579	1,979
Reversal during the period / year	-	(400)
Balance at the end of the period / year	**1,579**	**1,579**

10 SHARE CAPITAL

The authorized share capital of the Company comprised 170 million ordinary shares stated at SR 10 per share. All shares are issued and fully paid. (31 December 2023: 170 million ordinary shares stated at SR 10 per share).

On September 25, 2024, the Board of Directors of the Group recommended to the Extraordinary General Assembly to purchase 17 million of the group's shares and keep them as treasury shares for a period of ten years from the date of approval of the Extraordinary General Assembly due to the decrease of share price of the group in the market. The approval of the Extraordinary General Assembly will be taken to complete the purchase in accordance with the requirements of Paragraph (4) of Article (17) of the executive regulations of the company’s law for listed Joint Stock Companies.

11 LOANS TERM FINANCING

11.1 Long & short terms borrowings

Long & short terms borrowing from commercial banks is presented as follows:

	***30 September 2024 (Unaudited)** SR '000*	***31 December 2023** (Audited) SR '000*
Principal amount, beginning balance	335,654	278,500
Addition during the period / year	60,000	115,000
Less: repayments /redemptions during the period / year	(69,423)	(57,846)
Net principal amount	**326,231**	**335,654**
Accrued mark up for the period / year	6,032	2,825
	332,263	**338,479**
Less: Current portion	(64,878)	(44,422)
Less: short terms borrowings	(40,000)	(20,000)
Balance at the end of the period / year	**227,385**	**274,057**

(All amounts in thousands Saudi Riyals unless otherwise stated)

11 LOANS TERM FINANCING (Continued)

11.2 Tawarruq

During the year 2022, the Parent Company signed new banking facilities agreement (Tawarruq) with a local Bank. In the same year the company utilized SR 278.5 million which are repayable in seven years over thirteen equal semi-annual instalments starting from May 2023, and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin. The amount is secured by a promissory note. During the year 2023, the Parent Company utilized SR 35 million as a short-term facility, for the general purposes of the company.

The new facilities are repayable in during the next 6 months and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin secured by a promissory note.

During the year 2023, the subsidiary signed new banking facilities agreement (Tawarruq) with a local bank and utilized SR 80 million long term facilities to finance its capital expenditures. The new facilities are repayable in six years over twelve equal semi-annual instalments starting from September 2024 and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin. The amount is secured by some of the subsidiary's vehicles and promissory note. The carrying values of the borrowings are denominated in Saudi riyals.

As of 30 September 2024, the bank facilities amount to SR 40 million as facility, for the working capital purposes of the company.

The above loans is sharia compliant.

12 ZAKAT

The movement in zakat payable on the Group was as follows:

	30 September 2024 (Unaudited) SR '000	*31 December 2023 (Audited) SR '000*
Balance at beginning of the period / year	8,030	7,904
Provision during the period / year	4,590	6,721
Reversal during the period / year	-	(569)
Paid during the period / year	(6,748)	(6,026)
Balance at the end of the period / year	**5,872**	**8,030**

The Group submitted its zakat returns to the Zakat, Tax and Customs Authority (ZATCA) for the years up to 31 December 2023, and paid the liabilities for these years based on the zakat returns. The final assessment was obtained for the years from 2006 to 2011 as well as for the years from 2014 to 2020.

13 SALES

13.1 Disaggregated Sales information

	For the three-month period ended 30 September		***For the nine-month period ended 30 September***	
	2024 (Unaudited) SR '000	*2023 (Unaudited) SR '000*	***2024 (Unaudited) SR '000***	*2023 (Unaudited) SR '000*
Product type				
Cement	134,565	113,843	385,959	358,823
Total sales	**134,565**	**113,843**	**385,959**	**358,823**
Customer type				
Corporate customers	134,565	113,843	385,959	358,823
Total sales	**134,565**	**113,843**	**385,959**	**358,823**
Geographical markets				
Local	126,724	100,696	365,804	316,025
Export	7,841	13,147	20,155	42,798
Total sales	**134,565**	**113,843**	**385,959**	**358,823**

(All amounts in thousands Saudi Riyals unless otherwise stated)

13 SALES (Continued)

13.2 Performance obligations - point in time

The performance obligation is satisfied at a point in time and payment is generally due in advance or on demand.

14 EARNINGS PER SHARE

The Group presents basic and diluted earnings per share for its ordinary shares. Basic is calculated by dividing the profit attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. There has been no item of dilution affecting the weighted average number of ordinary shares.

	For the three-month period ended 30 September		*For the nine-month period ended 30 September*	
	2024 (Unaudited)	*2023 (Unaudited)*	***2024 (Unaudited)***	*2023 (Unaudited)*
Profit for the period attributable to the shareholders of the Company (in SR '000)	17,934	14,018	46,976	50,361
Weighted average number of ordinary shares for the purposes of basic and diluted earnings Basic ('000 shares)	170,000	170,000	170,000	170,000
Basic and diluted profit per share based on profit for the period attributable to shareholders of the Company (in SR)	**0.11**	**0.08**	**0.28**	**0.30**

15 CONTINGENCIES AND COMMITMENTS

The Group was contingently liable for letters of credit and bills for collections issued in the normal course of the business amounting to SR 12,855 thousand as at 30 September 2024 (31 December 2023: SR 12,311 thousand).

16 RELATED PARTY TRANSACTIONS AND BALANCES

Related parties represent major shareholders, Board of Directors, the Group key management personnel and enterprises managed or significantly influenced by those parties. The following are the details of major-related parties' transactions during the nine-month period ended 30 September 2024 compared to the nine-month period ended 30 September 2023:

Due to related parties			***For the nine-month period ended 30 September (Unaudited)***	
Related party	***Nature of relation***	***Nature of transaction***	***2024 SR'000***	*2023 SR'000*
Al Masane Al kobra Mining Company.	Some members of the group's Board of directors are members of the company's Board of directors	Sales to related party	281	-
Yaal Alarabeya Company	An entity controlled by one of the group board members	Sales to related party	-	54

(All amounts in thousands Saudi Riyals unless otherwise stated)

16 RELATED PARTY TRANSACTIONS AND BALANCES (Continued)

Allowances and compensation of the Board of Directors and senior executives

The Group's senior management includes key management personnel and executives, Board of Directors, having authorities and responsibilities for planning, directing and controlling the activities of the Group.

Board of Directors and committees' compensation charged during the nine-month period ended 30 September 2024 amounting to SR 1,528 thousand (30 September 2023: SR 2,219 thousand).

Key management personnel compensation comprised the following:

	30 September 2024 (Unaudited) SR'000	*30 September 2023 (Unaudited) SR'000*
Short term employee benefits	4,983	5,271
Post-employment benefits	385	168
	5,368	**5,439**

17 DIVIDENDS

On 11 March 2023G, (corresponding to 19 Shaaban 1444H), the Board of Directors recommended the distribution of dividends in the amount of 42.5 million Saudi riyals (SR 0.25 per share) after obtaining the approval of the shareholders in the General Assembly. On April 11, 2023G (corresponding to 20 Ramadan 1444H), the shareholders in the General Assembly meeting approved the recommendation of the Board of Directors. The dividends were paid on 4 May 2023G (corresponding to 14 Shawwal 1444H).

18 FAIR VALUE MEASUREMENT

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non- financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All financial instruments for which fair value is recognized or disclosed are categorized within the fair value hierarchy, based on the lowest level input that is significant to the fair value measurement, as follows:

- Level 1: quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2: valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3: valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

If the inputs used to measure the fair value of an asset or liability falls into different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest input level that is significant to the entire measurement.

(All amounts in thousands Saudi Riyals unless otherwise stated)

18 FAIR VALUE MEASUREMENT (Continued)

The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred. There were no transfers among the levels during the period.

The management assessed that the fair value of financial assets and financial liabilities approximate their carrying amounts primarily due to the short-term maturities of these instrument.

19 SUBSEQUENT EVENTS

Management believes that there are no material subsequent events that require disclosure or amendment to these condensed consolidated interim financial statements.

20 COMPARATIVE FIGURES

Certain items in the corresponding prior Year have been reclassified to conform with presentation in the current period as follow.

	31 December 2023 (audited) SR'000 Before Reclass	*Reclass*	*31 December 2023 (audited) SR'000 After Reclass*
FINANCIAL POSITION			
Current portion of long-term financing	64,422	(20,000)	44,422
Short term financing	-	20,000	20,000
STATEMENT OF CASH FLOWS			
Proceeds from Long-term loans	83,023	(20,000)	63,023
Proceeds from Short -term loans	-	20,000	20,000

21 APPROVAL OF INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

These interim condensed consolidated financial statements were authorized for issue by the Group's board of directors on 01/05/1446 (corresponding to 03/11/2024).